

somewhat rueful smile, Santhanam explains the challenge of completing an order and what normally transpires between the time an order is received and when it is completed. “You have the fabricator coming over to take measurements and then he will go to the dealer for the glass. That is only the beginning of a long and often arduous process,” he says.

To him, the entire value chain is unorganised and messy but digitising it is a must. To that end, about two years ago, Saint-Gobain rolled out the first My Home physical store in December 2020, with 38 more having come up since then. The model is quite simple. The store is run by an individual with an understanding of the home improvement business while the company supplies the finished products. At the core of this is the philosophy of convenience, which of course, comes at a cost. How does one convince the value-conscious Indian consumer to pay that extra amount? “If I remove the pain points, then my product will be easily accepted,” says Santhanam. In today’s scenario, he explains, it is anything but easy to get a plumber and electrician to your home at the same time, which leads most Indians to look for a value proposition. “If the issue is one of time and I can offer a quality product at your doorstep, the consumer will definitely pay for it,” he says.

India is a high-growth market for Saint-Gobain and the company is on track to invest ₹6,000-8,000 crore between 2021 and 2025, with a large part marked for greenfield and brownfield expansions and a small chunk on acquisitions. The B2C business will also see considerable investment. Around half of its existing business comes from glass and glass solutions and another 25 per cent from gypsum solutions and construction chemicals. Ceramics and refractories bring in 10 per cent, as does surface solutions,



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B. SANTHANAM
CEO (ASIA-PACIFIC)
AND CHAIRMAN,
SAINT-GOBAIN INDIA



“More than 95 per cent of it (the home improvement market in India) is unorganised and serviced by independent interior designers, contractors and labourers”

SAURABH JAIN
CO-FOUNDER & CEO,
LIVSPACE INDIA



“There is limited growth from a single product category. To grow further, a company has to widen its product portfolio or build multiple distribution channels”

HARSHIT J. KAPADIA
VP, ELARA SECURITIES

with 5 per cent being accounted for by life sciences.

Shajai Jacob, MD & Country Head of ANAROCK Group Business Services, points out that at least 80 per cent of the overall real estate demand comes from residential, with the rest 20 per cent being commercial, which includes office space, retail, hospitality and warehousing. “The trend of discerning, demanding and aspirational consumers is more evident than ever before. One is seeing demand for premium brands from cities like Lucknow, Jaipur, Indore, Aurangabad, Mangaluru, Kochi and Coimbatore,” he says.

To explain this transition, he points to how Jaquar was a premium bathroom fittings brand a decade ago. “Today, the brand is a hygiene requirement for most washrooms and consumers. The reasons for this are higher disposable income and savings as well as reverse migration especially into Tier II centres,” Jacob says. The latter is an accelerated result of the pandemic, he adds, with those moving out of metro cities wanting the same product quality that they had while staying in Delhi or Mumbai.

So, just what kind of numbers are we speaking of here? There are around 4 million homes built in India each year. Santhanam says even if the company manages to service 10 per cent of that (around 400,000 units), it would throw open a significant market. Assuming that an average of ₹3 lakh is spent on each house, it adds up to revenues of ₹12,000 crore annually. “Higher disposable incomes mean a lot more will be spent,” he says, while quickly pointing out that Saint-Gobain is well-placed to take advantage of the B2C opportunity. “We have a deep understanding of material science with a focus on sustainability and a huge brand recall. Besides, there is an unorganised